

Trading Bot V2

Strategic Overview

ICC Methodology Applied to 8 Crypto Assets · Hyperliquid + Kraken

49.5%

WR · OOS+FRICTION · 8
MAJORS

2.09

PF · WALK-FORWARD AVG

0.97

SHARPE ANN. ·
OOS+FRICTION

Where the project stands today

METHODO walk-forward OOS · *FRICTION* fees+slippage+funding · *WINDOW* 2024–25 bull + 2022–23 bear · *REGIME* mixed

VALIDATED METHODOLOGY

ICC + SMC

Indication–Correction–Continuation pipeline (Daily / H4 / H1). 94/94 unit tests green. No-lookahead enforced.

OOS WALK-FORWARD + FRICTION

**PF 1.64–2.54 · Sharpe
0.84–1.11**

309 trades, 8 majors. Bull '24–'25: PF 1.64, WR 49.1%, ΣPnL +89pp. Bear '22–'23: PF 2.54, WR 50.0%, ΣPnL +127pp. In-sample headline (+501pp) was –82% optimistic.

REGULATORY CONTEXT

MiCA · 1 July 2026

Proprietary bot: no CASP licence required. Signals or copy-trading for third parties: licence mandatory. Flat Tax (PFU) 31.4% in FR; DAC8 (EU directive on crypto reporting) auto-reporting active.

PROJECTED NET P&L (MEDIAN)

+\$11k → +\$320k / yr

Phase actual: \$50k @ ~15–20 % net ≈ +\$8–11k. End-of-build (+ funding capture): ≈ +\$15k. Optimized multi-strategy + community: +\$70k → +\$320k.

Source: internal backtest commit fb497a · ESMA MiCA · DGFIP (French Tax Administration) / Hagnere Patrimoine 2026

ICC multi-timeframe cascade

DAILY

BIAS

Direction master
BULL / BEAR / NEUTRAL
from unbroken structure



H4

INDICATION

CHoCH break: NEW_HIGH / NEW_LOW
Valid Order Block detected
Impulse + Fibo geometry



H1

ENTRY

Correction tracking (Path A + B)
Body close past micro LH / HL
Structural SL & TP

STATE MACHINE

SCANNING > **INDICATION** > **CORRECTION** > **READY** > **IN_TRADE** > **COOLDOWN**

Entry triggers on body-close past the H1 micro-structure that formed during the correction phase. SL is anchored on the previous H1 HL/LH close; TP is the nearest opposite OB on H4/Daily (RR ≥ 2.5) or 1:3 measured-move fallback.

Stack, data flow, testing posture

STACK

LANGUAGE	Python 3.x
CORE	pandas · numpy · pyarrow · ccxt
STRATEGIES	icc_structure / icc_orderblocks / icc_cycle
BACKTEST	backtest/engine.py + backtest/directional_engine.py
WALK-FORWARD	strategies/walkforward_icc.py
PAPER	paper_trading/order_simulator.py
TESTS	pytest · 94/94 green
STORAGE	parquet cache (Daily / H4 / H1)
VCS	git · ~10 sessions logged in docs/RECAPS/

EXCHANGES

Hyperliquid (perp + funding) · Kraken (spot OHLC)

DATA LAYER

fetch_multi_tf / fetch_universe / parse_kraken_zip

STRATEGY LAYER

ICC swing · trend · funding · MR · XSec

BACKTEST + WF

Walk-forward 12m / 6m / 3m · per-asset metrics

PAPER TRADING

Local simulator · Phase 1 (no broker, zero capital)

OOS walk-forward · friction applied · 2 regimes

METHODO walk-forward (12m/6m/3m) · FRICTION fees 4.5bps×2 + tiered slippage + funding · WINDOW 2024–25 bull + 2022–23 bear · REGIME both

309

OOS TRADES (BOTH WINDOWS)

49.5%

WR · WEIGHTED OOS

2.09

PF · WEIGHTED OOS

0.97

SHARPE ANN. · OOS+FRICTION

DATASET	METHODO	FRIC T.	TRD	WR	PF	Σ PNL pp	DD	SHARPE	VERDICT
2024–25 (bull)	In-sample full-period	OFF	332	60.5%	3.84	+501	~7%	—	INVALID
2024–25 (bull)	Walk-forward OOS	ON	167	49.1%	1.64	+89	12.7%	0.84	MARGINAL
2022–23 (bear→rec.)	Walk-forward OOS	ON	142	50.0%	2.54	+127	7.3%	1.11	VALID

INSIGHT · The in-sample headline (+501 pp, PF 3.84) was –82 % optimistic. OOS + friction collapses the bull-tape PnL to +89 pp / PF 1.64 / Sharpe 0.84. The bear-recovery 2022–23 window actually performs BETTER (PF 2.54, Sharpe 1.11), suggesting the strategy survives a stress regime — but 4 of 8 assets lose money on the bull tape (BTC, ADA, DOT, LINK). Asset filtering required.

8 majors, aligned Daily/H4/H1 over 2024-2025

BTC

PNL

+25.7%

WR 52.9% N 34

ETH

PNL

+89.3%

WR 79.5% N 39

SOL

PNL

+72.2%

WR 48.8% N 43

ADA

PNL

+34.6%

WR 51.1% N 47

AVAX

PNL

+101.9%

WR 69.8% N 53

DOT

PNL

+34.4%

WR 57.1% N 28

LINK

PNL

+89.1%

WR 62.3% N 53

LTC

PNL

+53.9%

WR 60.0% N 35

DOGE — EXCLUDED · Insufficient coverage in cache (1h: ~30 days only, 4h: ~4 months) for a 2-year aligned window. Funding-rate data on Hyperliquid available for BTC/ETH/SOL — used in the funding_capture branch only.

Honest internal/external assessment

STRENGTHS

- Rigor: unit tests per ICC concept, anti-lookahead, walk-forward native
- In-sample edge: PF 3.84, WR 60.5%, +501 pp over 2 years / 8 majors
- Honest analytics: V2 fix tested, measured, rejected, documented
- Best-in-class venues: Hyperliquid (44% perp-DEX share) + Kraken
- Diversified strategy bench (ICC, trend, funding, MR, momentum XSec)

WEAKNESSES

- No live nor real-time paper yet — all backtest-only
- Friction (fees, slippage) under-modelled in ICC pipeline
- No portfolio-level sizing or cross-asset risk control
- INTRADAY / SCALPING modes advertised in enum but not coded
- Only 2 years of aligned 4h/1h data on the 8 majors

OPPORTUNITIES

- Hyperliquid in rapid ascent: 36% → 44% perp-DEX share in 4 mo
- Open vertical: no real end-to-end ICC bot in Python on the market
- Funding arb on Hyperliquid: net APR 3–12% majors, 20–60%+ mid-caps
- Crypto quant funds: ~48% avg return, Sharpe 1.6 (sqmagazine)
- SMC community size: 15k+ active members on commercial alts

THREATS

- MiCA effective 1 July 2026 — CASP licence if managing 3rd-party capital
- Exchange / smart-contract risk on Hyperliquid (young L1)
- Regime change: 2026–2027 bear/rangy would compress edge
- Crypto tail risk: flash crashes, stablecoin breaks, exploits
- Flat Tax (PFU) @ 31.4% (2026); Non-commercial earnings (BNC) requalification if trading is intensive

Where the wallet is going in 2026

\$21.8 B

HYPERLIQUID 24H VOLUME

yellow.com 2026

44%

HYPERLIQUID PERP-DEX SHARE

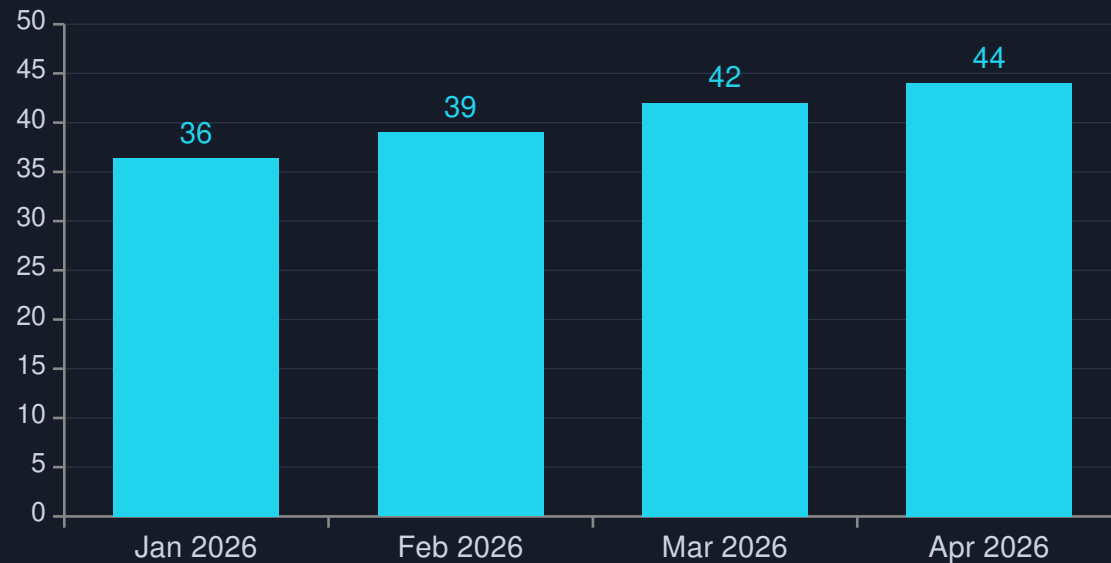
yellow.com 2026

48% / 1.6

AVG CRYPTO QUANT FUND 2025

return % / Sharpe — sqmagazine 2026

Hyperliquid market share gain — 2026



MARKET DATA POINTS

CRYPTO BOT SUBSCRIPTION MKT

12-25% avg ann. returns (3Commas / Cryptohopper top users)

FUNDING ARB NET APR

3–12% BTC/ETH · 20–60% mid-caps · 30–80% long-tail

RETAIL BOT FAILURE RATE

~95% of AI retail bots lose money within 90 days

HYPERLIQUID FEES

0.015% maker · 0.045% taker (best-in-class)

SMC COMMERCIAL BOT AUDIENCE

SMRT Algo: 15 000+ active members across asset classes

Where Trading Bot V2 fits in the 2026 ecosystem

CATEGORY	PLAYER	MODEL	PRICING	EDGE / NICHE
TradingView indicators	LuxAlgo SMC	Free freemium	\$0 → \$40/mo	Visual only, no execution
TV indicators paid	Zeierman SMC, SMC Sniper Pro	Subscription	\$30–80/mo	Closed-source, visual
All-in-one bot SaaS	3Commas · Cryptohopper · WunderTrading	SaaS	\$15–100/mo	Grid/DCA dominant, AI marketed
SMC bot SaaS	SMRT Algo	SaaS+TV	\$15–30/mo	15k+ members, broad asset coverage
Copy-trading exchange	Binance · Bybit · OKX Copy	Native	Spread + fees	Massive distribution
Copy-trading SaaS	Finestel · Stoic.ai	Subscription + perf	Variable	Pro multi-account mgmt
Open-source Py	joshyattridge/smart-money-concepts	Library	Free	Building block, not a bot
Trading Bot V2	(this project)	End-to-end Py	TBD	Backtest-rigorous ICC, transparent, dual venue (CEX + DEX)

POSITIONING · An open, reproducible, ICC-faithful Python stack with real backtest + walk-forward is a narrow but genuinely empty market segment. Most competitors are visual-only or closed SaaS.

MiCA in force, DAC8 live, Flat Tax (PFU) at 31.4%

MiCA

EU CRYPTO REGULATION

Effective 1 July 2026

- Proprietary bot (own capital) → no licence required.
- Signals exec'd for third parties / managed portfolios → CASP licence mandatory.
- ESMA Feb-2026 briefing: HFT / algo crypto must keep detailed order logs.

PFU

FLAT TAX FR 2026

31.4% (12.8% IT + 18.6% SS)

- Capital gains > €305 / year → declared via Form 2086 (FR capital-gains declaration).
- Option for progressive Income Tax (IR) scale if more favorable.
- Heavy bot activity → Non-commercial earnings (BNC) requalification risk (worse than PFU flat tax).

DAC8

AUTOMATIC REPORTING

Live since 1 January 2026

- EU directive on crypto reporting — crypto platforms auto-transmit history to DGFIP (French Tax Administration).
- Effective end of grey-zone declaration across EU jurisdictions.
- Discipline required: keep clean trade logs and reconciliations.

Sources: ESMA MiCA · Sumsb 2026 · Hagnere Patrimoine 2026 · impots.gouv.fr · Neural Arb MiCA 2026

Where to spend the next 90 days

DO · PRIORITIZE

■ Push funding capture to live paper

Delta-neutral on Hyperliquid. Net APR 3–12% BTC/ETH, 20–60% mid-caps. Doesn't consume the same risk budget as ICC.

■ Re-run walk-forward OOS with friction

Add fees + slippage to the ICC pipeline. Validate that V1 holds out-of-sample before any move toward broker demo.

■ Portfolio sizing + cross-asset risk

Volatility-targeted sizing, correlation matrix (ETH/SOL/AVAX cluster), drawdown circuit-breaker.

■ Live monitoring + Telegram alerts

Already wired in config — connect it. Stop-everything switch on DD > X%.

DON'T · POSTPONE

■ Implement INTRADAY / SCALPING modes

Stubs in enum, no code, no M15/M5/M1 data. ~3–6 sessions to build for unclear edge — sub-15-min is the densest SMC battleground.

■ Download M15/M5/M1 history

Kraken depth is shallow on those TFs. ROI on time would be ahead of model risk. Park until 2027+.

■ Phase 2 (broker) before OOS validation

Hyperliquid LIVE without robust OOS = textbook overfit-to-live failure mode. 95% of retail bots die here.

■ Sell signals / copy-trade without CASP

MiCA in force 1 July 2026. Auto-execution for third parties = licence mandatory in the EU.

Three scenarios, low / median / high

A · NOW

ICC V1, 8 assets, no funding yet

B · END OF BUILD

+ funding capture live + realistic friction

C · OPTIMIZED

Multi-strategy + community / SaaS

CAPITAL	A · LOW	A · MEDIAN	A · HIGH	B · LOW	B · MEDIAN	B · HIGH	C · MEDIAN
\$10k	+\$1.2k	+\$2.2k	+\$3.2k	+\$1.8k	+\$3.0k	+\$4.5k	n/a*
\$50k	+\$6k	+\$11k	+\$16k	+\$9k	+\$15k	+\$22.5k	+\$70k
\$100k	+\$12k	+\$22k	+\$32k	+\$18k	+\$30k	+\$45k	+\$70–320k

KEY ASSUMPTIONS

Net Sharpe **0.8–1.3** live (haircut 30–40% vs backtest) · DD **15–25%** expected live (vs ~7% backtest) · Sizing **12.5%/asset** (equal-weighted) · Friction drag **–3 to –5 pp/yr** before tax · Net of Flat Tax (PFU) 31.4% where applicable.

**Scenario C revenues at \$10k capital are dominated by community / signals fees (100–500 subscribers × \$20–50/mo).*

What can break this thesis



EXCHANGE RISK

Hyperliquid: young L1, scaling rapidly. Past incidents on the HLP. Mitigation: split capital across Kraken + Hyperliquid, conservative sizing on the DEX leg.



SMART CONTRACT RISK

Any DEX trade is exposed to chain bugs / oracle manipulation / cross-chain bridge failure. Run only audited contracts; avoid bridged stablecoins of unclear provenance.



REGULATORY RISK · MiCA

Bot for own capital: clear. Bot serving third parties / copy execution: licence required from 1 July 2026. Building monetization paths around this constraint is non-negotiable.



VOLATILITY TAIL RISK

Crypto VaR(1%) is 10–20× a TradFi book. Flash crashes, stablecoin breaks, liquidation cascades. Mandatory: hard drawdown circuit-breaker, no leverage above 5x even on funding arb.



MODEL / REGIME RISK

Backtest sits in a 2024–2025 bull tape. A 2026–2027 bear or rangy regime would compress edge. Walk-forward OOS Session 5 must be re-run with friction before any live capital.



OPERATIONAL RISK

Solo dev, single machine. No CI/CD, no failover, no monitoring yet. Wire Telegram alerts, daily P&L digest, and a stop-everything kill-switch before live.

From own capital to community to SaaS

A	OWN CAPITAL <i>\$20–100k self-funded</i>	FIT	RISK	WTP
		Highest edge capture	None	100% returns
B	OPEN-SOURCE + PATREON <i>SMC community ≈ 15–50k active</i>	FIT	RISK	WTP
		Brand, audience, hiring funnel	Disclosure of edge	\$5–20 / mo
C	SIGNALS DISCORD/TELEGRAM <i>Subscribers × ticket</i>	FIT	RISK	WTP
		Direct monetization	MiCA if auto-exec	\$20–100 / mo
D	SAAS BOT TURNKEY <i>Cryptohopper/3Commas benchmarks</i>	FIT	RISK	WTP
		Scalable	Infra + CASP licence	\$30–100 / mo
E	COPY-TRADING POOL <i>Finestel / Stoic.ai partnership</i>	FIT	RISK	WTP
		Aligned incentives	Perf-fee structure	0 + 10–30% perf

Three phases, gated by validation

PHASE 1

VALIDATE

Now → +3 mo

- Re-run walk-forward OOS with friction
- Add portfolio-level sizing + correlation matrix
- Wire Telegram alerts + drawdown circuit-breaker
- Push funding_capture branch to live paper on Hyperliquid

PHASE 2

DEMO + LIVE

+3 → +9 mo

- Broker demo (Kraken API, key-restricted)
- Real-money \$5–10k bootstrap on ICC swing
- Funding arb in parallel on Hyperliquid (delta-neutral)
- Daily P&L journal + monthly review cadence

PHASE 3

SCALE / SHARE

+9 → +18 mo

- Community brick: GitHub partial OSS + Discord
- Signals tier (manual-exec only — no MiCA trip)
- Evaluate Finestel/Stoic partnership for copy
- Decision gate on CASP structure

NEXT 90 DAYS

Validate. Capture. Scale.

Hold V1 as default. Re-run walk-forward with realistic friction. Push funding capture to live paper in parallel. Re-decide at the next gate.

01

OOS WALK-FORWARD

With fees + slippage, 8 assets, 2024–2025.

02

FUNDING CAPTURE LIVE PAPER

Hyperliquid, BTC/ETH/SOL, delta-neutral, $\leq 5x$.

03

COMMUNITY BRICK

GitHub OSS + Discord. No auto-exec until MiCA decision.